Post-2001 reforms and global economic shocks

Lecture 5

Learning objectives

- **How did reforms change public finance, banking and macroeconomic governance?**
  The programme after the 2001 crisis combined fiscal consolidation with banking restructuring. The Central Bank gained stronger legal independence, and a floating exchange rate replaced the failed anchor. Banks rebuilt capital and reserves as supervision and regulation were strengthened.
- **Why did stronger institutions coexist with exposure to global shocks?**
  Stronger bank balance sheets and oversight limited the financial damage of the global crisis. Türkiye still relied on exports, external funding and domestic credit, all of which could be affected by a downturn abroad. The distinction helps explain why banks held up comparatively well while real output fell sharply in 2009.
- **What prevented stabilisation from guaranteeing sustained development?**
  Disinflation and lower public debt helped restore confidence and supported growth. Low domestic savings and production that relied heavily on imported energy and inputs continued to generate financing needs. Stronger institutions, higher productivity and more innovation were needed to sustain gains after the recovery.

Reform and crisis chronology after 2001

Year	Development
2001	Transition programme and institutional restructuring
2005	Banking law strengthens the regulatory framework
2008–2009	Global financial crisis and policy easing
2010–2011	Macroprudential policy and coordination

- **2001: Transition and institutional restructuring**
  After the exchange-rate programme collapsed, a new transition programme was launched in April 2001. It combined measures to restore confidence and stabilise the economy with reforms to the banking system. A floating exchange rate and stronger public finances formed part of the new framework.
- **2005: Banking law and regulation**
  Banks had begun rebuilding capital and reserves after the 2001 crisis. The banking law passed in 2005 modernised the regulatory framework. Closer supervision helped curb excessive risk-taking before the next shock.

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- **2008–2009: Global crisis and policy easing**
  The global crisis reduced foreign demand and made external funding harder to obtain. The Central Bank cut interest rates substantially, while fiscal policy supported domestic demand and investment. The economy contracted in 2009 despite the banking sector's stronger position.
- **2010–2011: Macroprudential policy and coordination**
  Rapid credit growth during the recovery raised concern about financial stability and the current account. The Central Bank began using a broader set of instruments in late 2010. The Financial Stability Committee was established in June 2011 to assess systemic risks and support coordination.

Banking and currency vulnerabilities in 2001

- **Public financing imbalances and bank fragility**
  High public borrowing needs were a recurring source of pressure before 2001. Banks held government securities while relying on short-term funding and carrying substantial currency exposures. A loss of confidence therefore threatened public financing and bank liquidity at the same time.
- **Currency and maturity mismatches**
  Banks with more foreign-currency liabilities than assets in those currencies faced losses when the lira depreciated. Short-term liabilities had to be renewed even when longer-term assets were difficult to sell. Low capital buffers left banks with limited room to absorb these losses.
- **Collapse of the exchange-rate programme**
  Reserve losses and a surge in overnight rates made the preannounced exchange-rate path unsustainable. The lira was allowed to float in February 2001, and its depreciation worsened losses on open currency positions. The crisis damaged confidence and was followed by a sharp fall in investment and activity.

The 2001 Transition to the Strong Economy Programme

Reform area	Main objective
Banking	Restructure banks and restore finance for production
Public finance	Strengthen the financing balance and transparency
Monetary policy	Reduce inflation under a floating exchange rate
Institutions and society	Improve efficiency, confidence and social solidarity

- **Banking restructuring**
  Banks were to be restructured so that the financial system could support production again. Restoring capital and improving supervision addressed vulnerabilities exposed by the crisis. A sounder banking system was expected to improve the supply of credit to viable firms.
- **Public finance**
  The programme sought a lasting improvement in the public financing balance. Stronger public finances would reduce pressure from government borrowing and debt service. Transparency measures were also intended to improve the management of public resources.

The 2001 Transition to the Strong Economy Programme

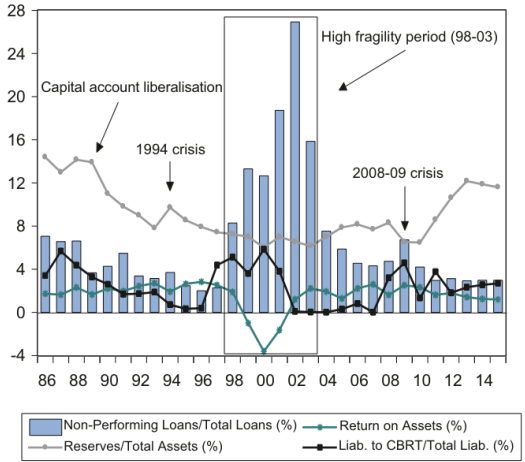
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- **Monetary policy under a floating exchange rate**
  The failed exchange-rate anchor was replaced by a floating regime. The programme retained disinflation as a central objective. Monetary policy therefore had to reduce inflation without defending the earlier preannounced exchange-rate path.
- **Institutions and society**
  The programme proposed legal and institutional changes to improve efficiency and transparency. Restoring confidence was an immediate aim after the collapse of the exchange-rate regime. Social solidarity also formed part of the response to the costs of the crisis.

Changes in macroeconomic governance

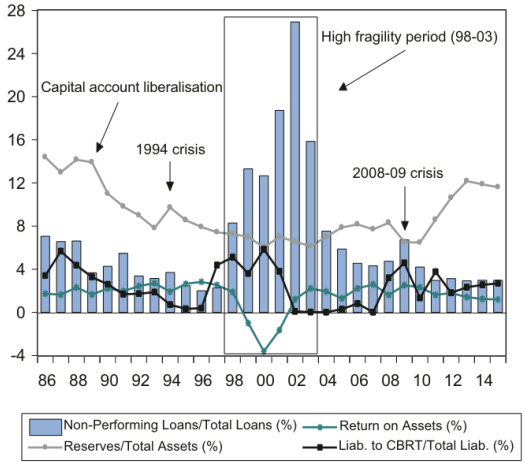
- **Central Bank independence and policy powers**
  The 2001 amendment strengthened the Central Bank's independence and powers. A floating exchange rate gave policy a different basis after the collapse of the previous exchange-rate programme. The subsequent inflation-targeting strategy put price stability at the centre of monetary policy.
- **Stronger banking regulation and supervision**
  The Banking Regulation and Supervision Agency applied closer oversight and encouraged more conservative banking practices. Banks rebuilt capital and reserves, and the share of problem loans fell. The 2005 banking law further modernised the regulatory framework.
- **Fiscal and monetary credibility**
  Fiscal consolidation lowered public borrowing pressure, while changes to monetary policy helped bring down chronic inflation. Stronger bank balance sheets reduced a separate source of instability. Together, these changes strengthened confidence in the management of the economy.

Banking repair after the 2001 crisis



- **Loan quality around the 2001 crisis**
  The bars show non-performing loans as a share of total loans. Problem loans rose sharply around the crisis and reached roughly a quarter of the total in 2002. This deterioration coincided with weak profitability and a period of severe banking distress.
- **Bank repair after the crisis**
  Banks rebuilt their capital and reserves after restructuring and closer supervision. Returns on assets recovered, and non-performing loans fell as a share of total loans. The improvement occurred even as banks expanded lending to the private sector.

Banking repair after the 2001 crisis



- **Banking effects of the global shock**
  Problem loans rose around the 2008–2009 crisis but remained far below their earlier peak. Bank profitability and other buffers were stronger than at the start of the decade. The chart shows the smaller banking disruption, while real output still contracted.

Banking indicators before the global crisis

Indicator	Value	Reference date
Gross non-performing loans / loans	3.4%	End-2007
Capital / assets	12.1%	End-2007
Liquid assets / assets	54.2%	End-2007
Private-sector credit / GDP	26.2%	2008

- **Non-performing loans**
  Gross non-performing loans accounted for 3.4 percent of total loans at the end of 2007. The ratio was well below the levels reached in the aftermath of the 2001 crisis. It indicates that a much smaller share of banks' loans was classified as non-performing before the global shock.
- **Capital and liquid assets**
  Bank capital stood at 12.1 percent of assets, and liquid assets represented 54.2 percent of assets at the end of 2007. Capital provided a buffer against losses, while liquid assets helped banks meet near-term payments. These ratios measure different aspects of resilience and are not interchangeable.

Banking indicators before the global crisis

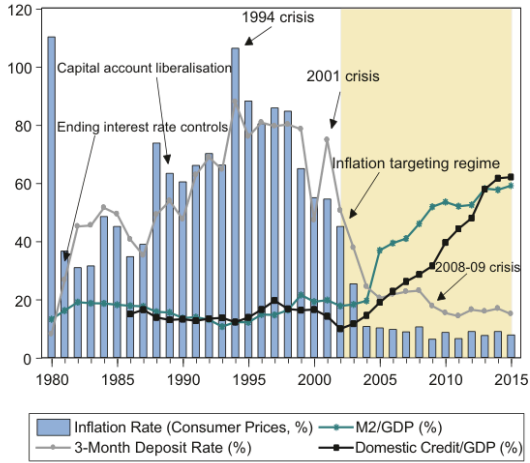
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- **Private-sector credit and financial depth**
  Credit to the private sector was 26.2 percent of GDP in 2008. This measure compares the size of lending with the size of the economy, rather than measuring bank capital or liquidity. Relatively limited financial depth and use of complex instruments restrained some direct channels of contagion.

Floating exchange rates and inflation targeting

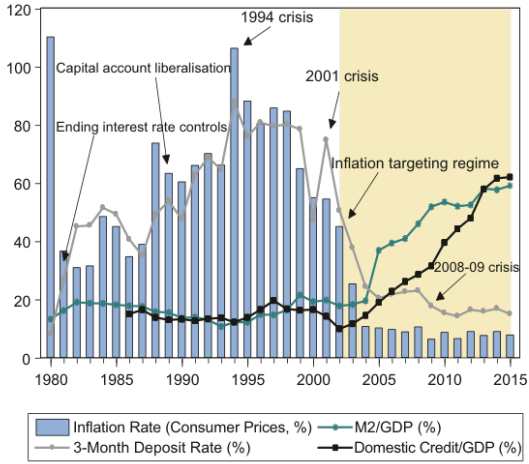
- **Floating exchange rates and inflation targeting**
  The failed exchange-rate anchor was abandoned in February 2001. Under a floating regime, the exchange rate could adjust without a commitment to defend a preannounced path. Inflation targeting provided a framework for pursuing price stability after the change.
- **Institutions, fiscal management and chronic inflation**
  The Central Bank law gave monetary policy greater independence. Fiscal consolidation helped reduce public borrowing pressure and financing costs. These institutional and fiscal changes accompanied the decline in chronic inflation.
- **Inflation fell from roughly 60 percent to single digits**
  Inflation had been close to 60 percent around the crisis period. It subsequently declined to single digits under the new policy framework. This was a slowdown in the rate of price increases, which could improve the predictability of borrowing and investment decisions.

Disinflation and financial deepening



- **Inflation and deposit rates**
  Consumer price inflation and three-month deposit rates declined sharply in the years after the crisis. The fall in inflation accompanied tighter macroeconomic management and a new monetary framework. Deposit rates remained positive in nominal terms even as inflation reached much lower levels.
- **Domestic credit and broad money**
  Domestic credit and broad money increased relative to GDP during much of the post-crisis period. These ratios compare financial aggregates with national output, rather than giving their annual growth rates. Their rise indicates that financial activity became larger relative to the economy.

Disinflation and financial deepening

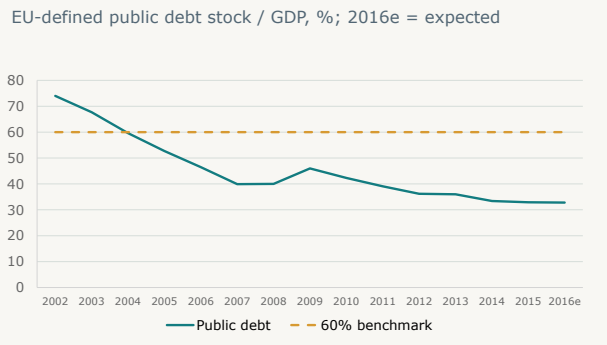


- **Benefits and risks of deeper finance**
  A deeper financial system can mobilise saving and expand access to funding. When lending grows quickly on the back of short-term inflows, it can also widen the current-account deficit. Monitoring the pace and funding of credit therefore matters alongside measuring its size.

Fiscal consolidation after 2001

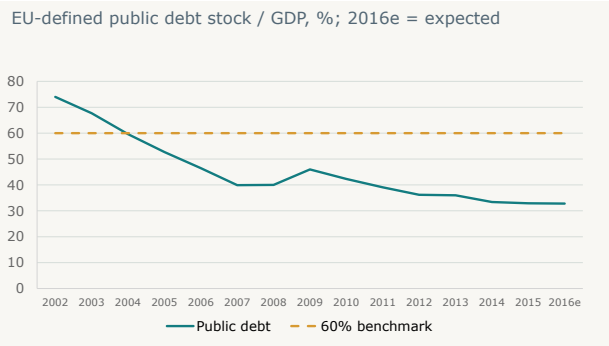
- **The primary surplus and public debt**
  Fiscal policy aimed to maintain a high primary surplus and reduce the debt burden. The primary balance excludes interest payments, so a surplus leaves more resources available to service existing debt. The debt target placed the ratio well below the 60 percent benchmark used in the European comparison.
- **Spending restraint, duty losses and privatisation**
  Some publicly owned companies were privatised, and efforts were made to reduce redundant expenditures. The reform also addressed losses incurred when state banks carried out government-assigned duties. Reducing these losses eased pressure on the public budget.
- **Borrowing costs and spending room**
  Lower inflation and stronger public finances helped bring real interest rates down from their earlier high levels. A smaller interest burden meant that a smaller share of public resources was needed for debt service. This created room for spending on infrastructure and services within a tighter fiscal framework.

Public debt relative to GDP



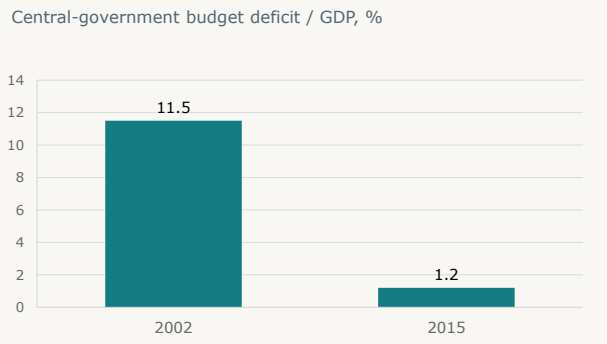
- **The decline in the public debt ratio**
  The EU-defined public debt stock fell from 74 percent of GDP in 2002 to 32.9 percent in 2015. The ratio moved below the 60 percent reference line by 2004. It measures debt relative to economic output and does not show whether the nominal debt stock fell.
- **The interruption in 2009**
  Public debt relative to GDP rose in 2009 during the global crisis and the expansionary fiscal response. The ratio declined again after the interruption. This temporary increase shows that the longer decline was not a steady year-by-year movement.

Public debt relative to GDP



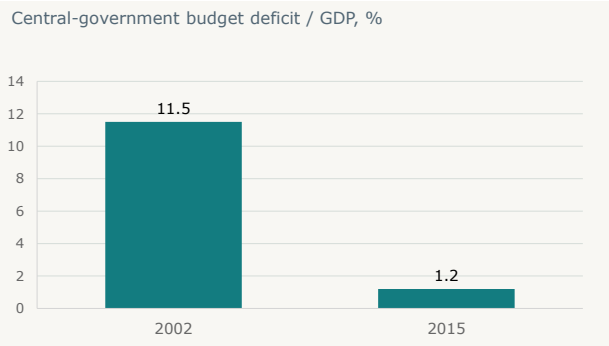
- **The 2016 estimate and the reference line** The final value is an expectation made at the time, rather than an observed outturn. It should be distinguished from the historical values when describing what actually happened. The 60 percent line is the Maastricht debt benchmark used for comparison.

The central-government budget deficit



- **The change in the central-government deficit**
  The central-government budget deficit fell from 11.5 percent of GDP in 2002 to 1.2 percent in 2015. The change was 10.3 percentage points of GDP between the two years. The bars compare annual budget deficits, which differ from the accumulated public debt stock.
- **Debt, interest and the budget**
  Improved public finances and lower inflation helped reduce real borrowing costs. External public-debt interest payments fell as a share of GDP over the period. A lower interest burden left more room in the budget for other expenditure.

The central-government budget deficit

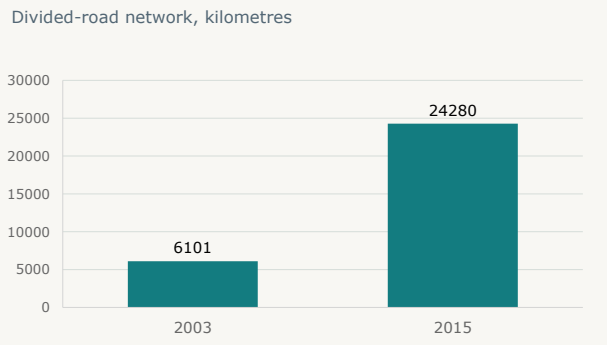


- **Fiscal space and the global crisis**
  Debt and deficits had already fallen before the 2008–2009 shock. This gave the government scope to support demand when the global economy weakened. The 2015 bar shows a later outcome, rather than the size of the deficit immediately before the crisis.

Lower debt service and the allocation of spending

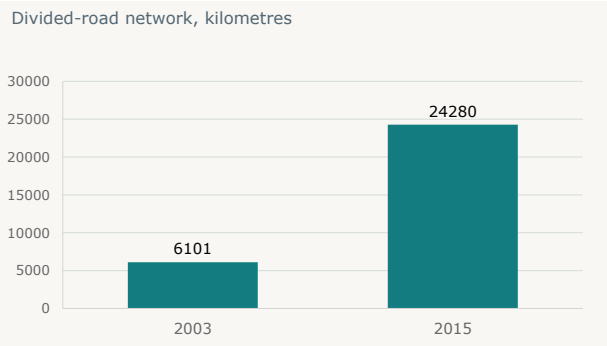
- **Lower debt-service costs**
  Improved public finances and macroeconomic stability helped reduce the government's borrowing costs. External public-debt interest payments fell from 2.8 percent of GDP in 2002 to 1.3 percent in 2015. Lower interest costs changed how much of the budget was available for other uses.
- **Health, education and infrastructure**
  Lower financing costs and a narrower deficit gave the government room to redirect spending. Expenditure expanded in education, health care and infrastructure, including roads. These investments were intended to improve access to services and economic opportunities.
- **The composition of spending**
  Consolidation changed the balance between servicing past debt and financing current services or investment. Some infrastructure was also financed through public–private partnerships. The state's development role therefore depended on what was financed and how it was financed as well as how much was spent.

Expansion of divided-road infrastructure



- **The expansion of divided roads**
  The divided-road network grew from 6,101 kilometres in 2003 to 24,280 kilometres in 2015. The network was nearly four times as long at the end of the period. This measures road length, not the amount spent or the quality of each road.
- **Transport costs and regional trade**
  Better roads improved access to international trade routes for regions that had been less connected. Lower transport costs can make it easier for firms to obtain inputs and sell to more distant customers. The improvement can support both regional exports and imports.

Expansion of divided-road infrastructure



- **The state's role in infrastructure**
  The government financed infrastructure through the public budget and also used public–private partnerships. Fiscal consolidation and revenue measures created some room for investment. Infrastructure can improve productive capacity when it removes obstacles faced by firms and households.

Expansion of education and health services

Indicator	Earlier observation	Later observation
Universities	76 in 2002	183 in 2016
Primary class size	31 students in 2001	23 students in 2014
Life expectancy at birth	71 years in 2002	75 years in 2015
Health-service satisfaction	39.5% in 2003	75.9% in 2011

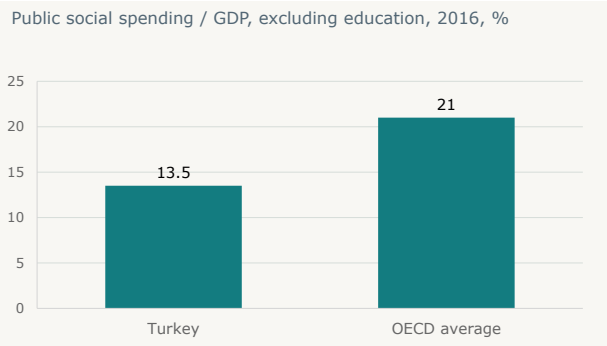
- **Universities and access to higher education**
  The number of universities increased from 76 in 2002 to 183 in 2016. Many of the additional institutions were public. More places can widen access, but the number of institutions does not measure the quality of teaching or research.
- **Primary class size**
  Average primary class size fell from 31 students in 2001 to 23 in 2014. An increase in schools and classrooms helped accommodate pupils in smaller groups. Teacher quality and the relevance of instruction still mattered for learning.

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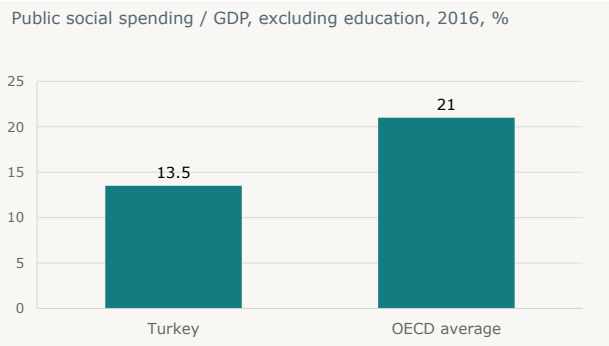
- **Life expectancy and health coverage**
  Life expectancy at birth increased from 71 years in 2002 to 75 in 2015. This change occurred as health coverage was extended to almost the whole population. The comparison records an improvement in the outcome without isolating the effect of any single reform.
- **Satisfaction with health services**
  Reported satisfaction rose from 39.5 percent in 2003 to 75.9 percent in 2011. This indicator measures how people assessed health services. It complements life expectancy by showing a different dimension of the change.

Public social spending and the OECD comparison



- **Public social spending in Türkiye**
  Public social spending excluding education reached 13.5 percent of GDP in 2016. It had risen from around 8 percent of GDP in 2000. The ratio shows expenditure relative to national output rather than the amount spent per person.
- **Comparison with the OECD average**
  The corresponding OECD comparison was 21 percent of GDP. Türkiye's share was therefore 7.5 percentage points below the average. An increase over time can coexist with a lower level than that of other economies.

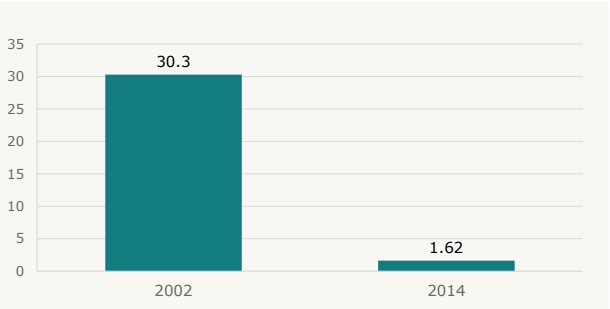
Public social spending and the OECD comparison



- **Health, pensions and other support**
  Health care and pension payments accounted for around three quarters of public social spending in Türkiye. Support for disadvantaged groups also increased, though it remained below the OECD average. The composition matters because a larger total does not necessarily expand every type of support equally.

Poverty under a historical threshold

Population below the historical US$4.30/day line, %



- **Poverty under the historical threshold**
  The share below the historical threshold of 4.30 US dollars a day fell from 30.3 percent in 2002 to 1.62 percent in 2014. This measures the share of people below one defined line. Other poverty lines can yield different rates.
- **Earnings, public services and protection**
  Improved labour earnings supported rising living standards among lower-income households. Investment expanded access to health, education and municipal infrastructure, and social protection was strengthened. These developments help explain why changes in living standards depended on more than income growth alone.

Trends in income inequality



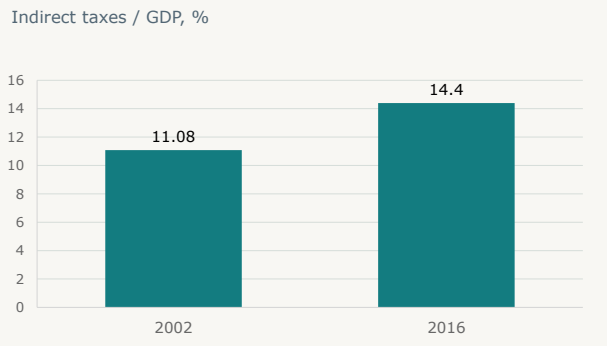
- **Initial decline in income inequality**
  The Gini coefficient fell from 0.44 in 2002 to 0.38 in 2005. A lower Gini indicates a more equal distribution of income. It does not show the absolute income level of any household.
- **Later fluctuations around 0.40**
  The coefficient moved around 0.40 for several years after the initial decline. It reached 0.397 in 2015, above the 2005 low. Growth in disposable income across groups did not substantially alter their shares in the later period.

Trends in income inequality



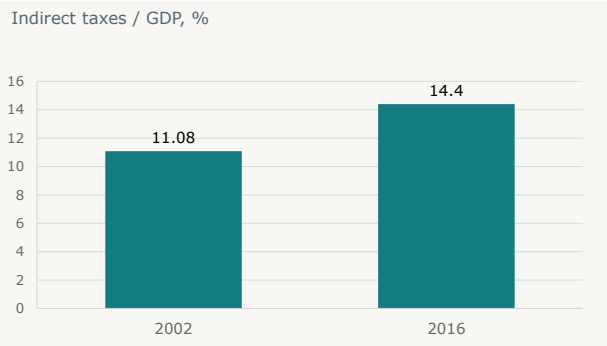
- **Poverty and distribution measure different outcomes**
  Absolute poverty can fall when more households move above a fixed threshold. Inequality can remain broadly unchanged if incomes increase at similar rates across the distribution. The poverty and Gini charts therefore describe related but different changes.

Indirect taxation



- **Indirect taxes as a share of GDP**
  Indirect tax revenue rose from 11.08 percent of GDP in 2002 to 14.40 percent in 2016. Direct taxes remained close to 6 percent of GDP. The increase in the overall tax ratio came mainly through indirect taxation.
- **Indirect taxes as a share of tax revenue**
  Indirect taxes accounted for about 67 percent of total tax revenue. That figure uses total tax revenue as its denominator, whereas the bars use GDP. A heavy reliance on taxes on spending can place a proportionately larger burden on lower-income households.

Indirect taxation



- **A more balanced tax mix**
  Greater use of direct taxes was proposed to reduce the reliance on indirect taxation. More effective auditing and better administrative capacity could improve direct-tax collection. Helping informal businesses enter the formal economy could also broaden the tax base.

Institutions and the costs of doing business

Indicator	Earlier observation	Later observation
Time to start a business	39 days in 2004	7 days in 2017
Time to prepare and pay taxes	254 hours in 2006	216.5 hours in 2017
Contract-enforcement cost	27.3% of claim in 2004	24.9% in 2017
Government effectiveness	0.04 in 2002	0.23 in 2015

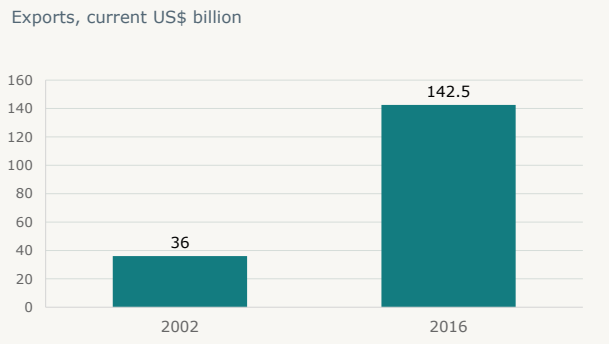
- **Time to start a business**
  The time required to start a business fell from 39 days in 2004 to seven days in 2017. Shorter procedures reduce the time needed to establish a formal firm. This indicator measures one administrative cost of entry rather than all barriers to entrepreneurship.
- **Tax compliance time**
  The estimated time to prepare, file and pay taxes fell from 254 hours in 2006 to 216.5 hours in 2017. The figures are annual hours for a model business. Lower compliance time can reduce administrative costs even when tax rates are unchanged.

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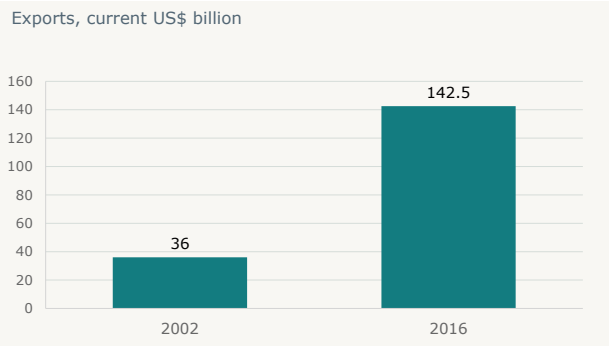
- **Cost of enforcing a contract**
  The estimated cost fell from 27.3 to 24.9 percent of the claim between 2004 and 2017. It covers costs such as court and attorney fees relative to the debt value. Enforcement remained costly, leaving room for further legal and administrative improvement.
- **Government effectiveness**
  The effectiveness index increased from 0.04 in 2002 to 0.23 in 2015. These are index scores, not percentages. The improvement indicates progress on the measure but does not mean all institutional weaknesses were resolved.

Export growth, diversification and composition



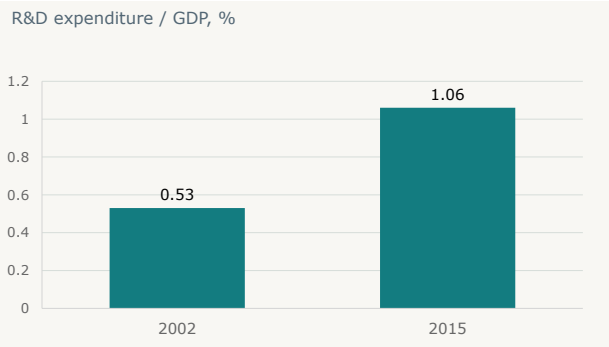
- **Growth in export receipts**
  Exports rose from 36 billion US dollars in 2002 to 142.5 billion in 2016. The chart shows current dollar values, so it does not isolate changes in export quantities. The large rise nevertheless marks a substantial increase in recorded export receipts.
- **Diversification of export markets**
  Closer economic links with countries in the Middle East, the Balkans, Asia and Africa widened the set of markets served. This reduced dependence on sales to the European Union. Europe nevertheless remained an important trading partner and source of demand.

Export growth, diversification and composition



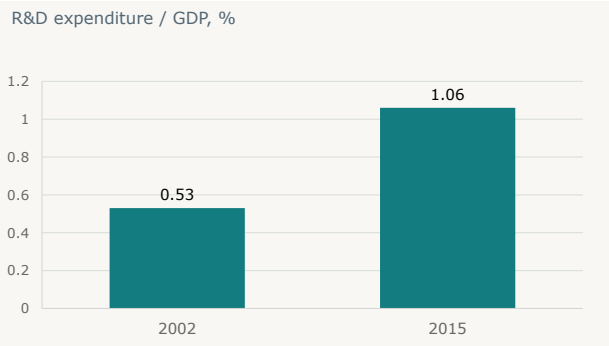
- **Export composition and the external deficit**
  High-technology exports remained limited relative to those of some competitor economies. Production also depended on imported energy and intermediate inputs. Growing export receipts could therefore coexist with a persistent current-account deficit.

Research, development and innovation



- **R&D intensity doubled**
  Research and development expenditure increased from 0.53 percent of GDP in 2002 to 1.06 percent in 2015. As a share of GDP, the later value was twice the earlier one. The ratio measures resources devoted to research rather than innovations produced.
- **The private sector's role**
  The private sector's share of R&D investment rose from about one third to one half. Public incentives helped encourage private firms to undertake research. Private investment accounted for a growing part of the overall research effort.

Research, development and innovation



- **Turning research into innovation**
  Higher research spending did not translate into innovation to the desired extent. Manufacturing capability and collaboration between firms and research institutions can help turn ideas into products. Evaluating policy therefore requires attention to results as well as expenditure.

Targeted industrial policy

Policy tool	Purpose
Selective incentives	Support promising activities and build productive capability
Performance conditions	Link support to results and withdraw ineffective subsidies
Production linkages	Develop suppliers and downstream industries together
Public coordination	Align infrastructure, institutions and industrial strategy

- **Selective industrial incentives**
  Targeted support was proposed for firms and industries with promising productive potential. The rationale was to concentrate limited public resources on activities with scope for learning and upgrading. Broad incentives alone were considered insufficient to develop those capabilities.
- **Performance conditions**
  Support was to be linked to clear performance targets. Monitoring would help determine whether recipients were producing the intended results. Subsidies could be withdrawn when firms failed to meet the conditions.

Targeted industrial policy

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- **Supplier and customer linkages**
  Industrial policy was to consider firms that provide inputs as well as firms that use them. Past support to textiles, for example, did not give comparable attention to textile machinery. Developing linked industries together can strengthen domestic suppliers and reduce some imported-input dependence.
- **Public coordination**
  Industrial policy depends on decisions taken across ministries and agencies. Infrastructure investment and institutional reform should support the same productive priorities. Coordination makes it easier to implement and monitor the policy as a whole.

Financial openness: Benefits and risks

Potential benefits	Risks under weak safeguards
Mobilise savings for productive investment	Credit and asset-price booms
Improve access to finance and risk sharing	Currency appreciation and external deficits
Increase competition and financial efficiency	Sudden reversals and balance-sheet losses

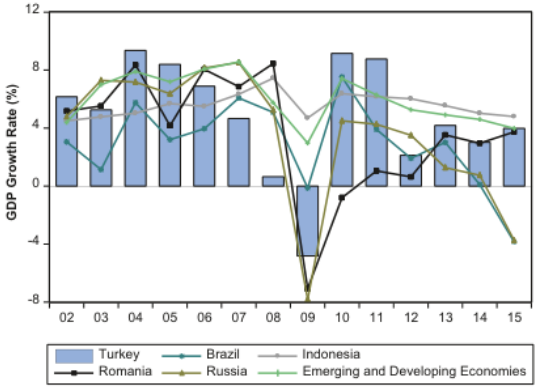
- **Mobilising saving and the risk of asset booms**
  An effective financial system can channel savings into productive investment. Access to external funds can increase the resources available to borrowers. Without effective safeguards, inflows can instead fuel rapid lending and higher property or equity prices.
- **Access to finance, risk sharing and the exchange rate**
  Financial openness can allow firms to borrow on better terms and diversify sources of risk. Large inflows can also appreciate the currency and stimulate domestic consumption. When imports grow and exports come under pressure, the external deficit can widen.

Financial openness: Benefits and risks

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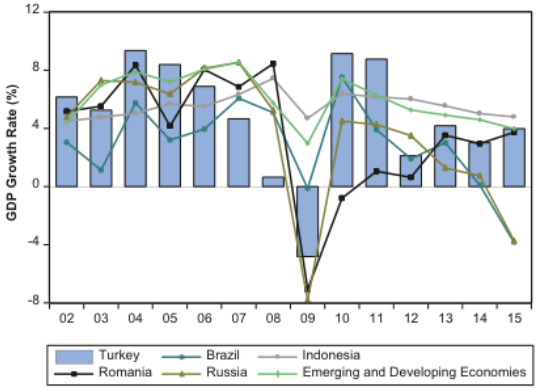
- **Competition, regulation and sudden reversals**
  International competition can improve domestic financial services and efficiency. If investors suddenly withdraw, however, borrowers with short-term or foreign-currency liabilities can face losses or funding shortages. Effective regulation and a sequenced opening are therefore important to realise the potential benefits.

Growth in Türkiye and peer economies



- **Reading the peer comparison**
  The chart compares Türkiye with Brazil, Indonesia, Romania and Russia, as well as an emerging and developing economy aggregate. Türkiye's annual growth appears as bars and the comparison series appear as lines. Each series measures an annual GDP growth rate, rather than the size of the economy.
- **The 2009 interruption**
  Türkiye grew strongly in several years after 2001 but contracted sharply in 2009. Growth also slowed across the comparison group, though some peers continued to grow. This variation shows how a common shock can produce different outcomes across economies.

Growth in Türkiye and peer economies



- **Recovery and continuing vulnerability**
  Türkiye's growth rebounded strongly in 2010 and 2011. Growth later fluctuated as demand and external financing conditions changed. A rapid rebound did not eliminate the savings gap or reliance on short-term funding.

The slowdown in world trade integration

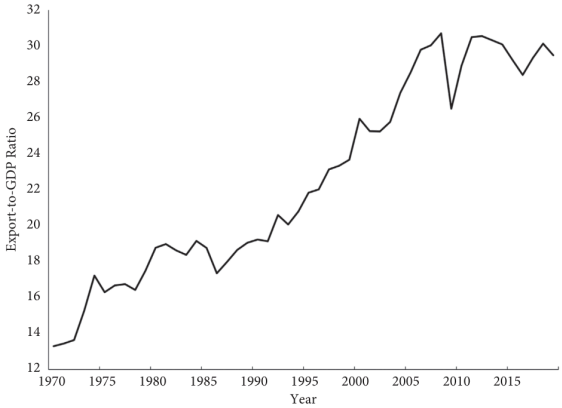


Figure 14.1 Ratio of World Exports of Goods and Services to World GDP, 1970–2019

- World exports grew rapidly relative to GDP before the global financial crisis.
- The 2009 decline interrupted this rise, and integration grew more slowly afterwards.
- Türkiye's export expansion took place within this wider change in world trade.

Global value chains

- Production increasingly spread across countries through trade in tasks and components.
- By 2010, intermediate goods accounted for about half of global goods trade.
- For Türkiye, integration raised the importance of skills, technology and domestic value added.

Global and national inequality

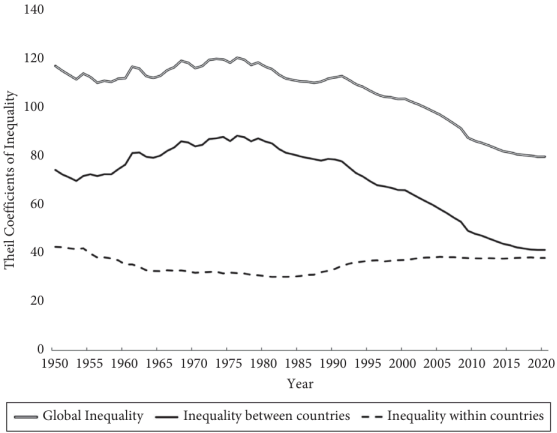


Figure 14.2 Income Inequality Across Countries, 1950–2020

- The figure separates inequality between countries from inequality within countries.
- Falling between-country inequality reduced global inequality during the later period.
- Türkiye's national Gini measures a different distribution from this global Theil index.

Global current-account imbalances

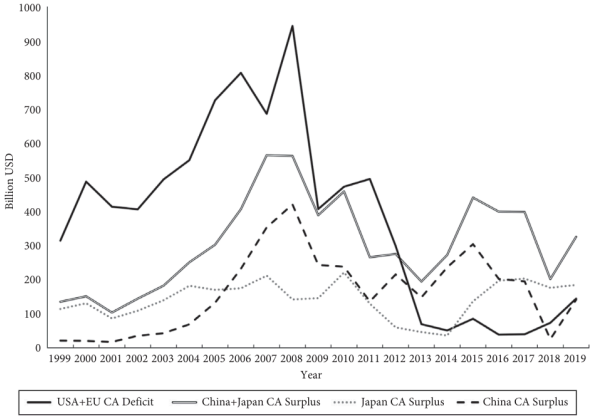


Figure 14.4 Current Account (CA) in Four Major Economies, 1999–2019

- Large deficit economies relied on claims accumulated by surplus economies.
- The graph displays deficit magnitudes as positive amounts alongside surplus series.
- Türkiye's dependence on external finance must be assessed within these global funding conditions.

The global financial crisis

- US housing credit and securitisation spread mortgage exposure across institutions and countries.
- Short-term funding and weak oversight increased financial fragility.
- Housing losses and funding panic became a systemic international crisis.

The Eurozone crisis

- Bank losses and sovereign financing problems reinforced one another in the Eurozone.
- Members shared monetary policy while fiscal and banking arrangements remained fragmented.
- The prolonged European downturn weakened an important market and source of finance for Türkiye.

Transmission of the global crisis to Türkiye

Channel	Transmission to activity
External demand	Lower exports reduced output and employment
Domestic demand	Lower spending cut production and capacity utilisation
External funding	Global credit scarcity made financing harder
Bank lending	Caution and funding stress weakened credit supply

- **External demand**
  The global downturn reduced demand for Turkish exports. Firms facing fewer orders cut production. The contraction in output also weakened employment.
- **Domestic demand**
  Households and firms reduced spending as conditions deteriorated. Lower demand led industrial firms to use less of their existing capacity. This amplified the fall in production and employment.

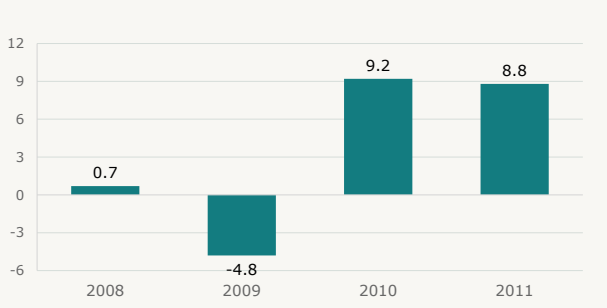
Transmission of the global crisis to Türkiye

Channel	Transmission to activity
External demand	Lower exports reduced output and employment
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Bank lending	Caution and funding stress weakened credit supply

- **External funding**
  The global credit crunch made it harder for Turkish banks to obtain funds. Scarcer funding limited the financial resources available for domestic activity. This channel mattered even though local banks entered the crisis in a stronger position.
- **Bank lending**
  Banks became more cautious about extending credit in the uncertain environment. A reduction in lending made it more difficult to finance household expenditure and business investment. The effect on the real economy therefore extended beyond banks' own balance sheets.

Recession and recovery, 2008–2011

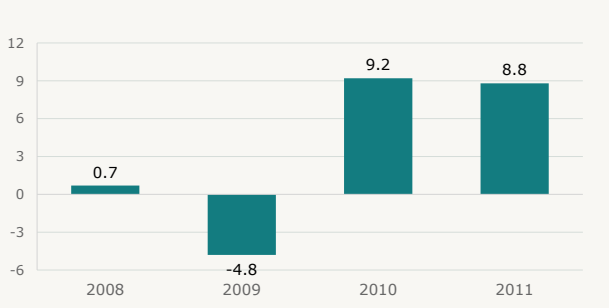
Real GDP growth, historical series, %



- **Growth in 2008 and contraction in 2009**
  Real GDP grew by 0.7 percent in 2008 in the historical series shown. It fell by 4.8 percent in 2009 as the effects of the global shock intensified. The move from a positive to a negative growth rate marks a fall in the level of real output in 2009.
- **The rebound in 2010 and 2011**
  Real GDP grew by 9.2 percent in 2010 and by 8.8 percent in 2011. Monetary and fiscal easing supported the recovery as global financing conditions improved. These annual growth rates followed a lower level of output after the recession.

Recession and recovery, 2008–2011

Real GDP growth, historical series, %



- **Recovery and structural risks**
  Lower borrowing costs and capital inflows helped domestic credit expand during the recovery. Stronger domestic spending contributed to a wider current-account deficit by late 2010. High growth after the downturn therefore coexisted with renewed external financing risks.

Exports and the European demand shock

- **Weaker foreign demand and domestic activity**
  When trading partners reduced spending, foreign demand for Turkish goods weakened. Lower exports cut production and reduced demand for workers in affected industries. Weak demand in Europe remained a constraint after the immediate global crisis.
- **Export revenues fell by more than 30 billion dollars**
  The crisis was accompanied by a decline in export revenues of more than 30 billion US dollars. This occurred alongside a recession of nearly 5 percent of GDP in 2009. Export revenue is measured in dollars, so the change cannot by itself establish how much export volume fell.
- **Market diversification and continued European exposure**
  Exports had expanded into a wider set of markets, reducing dependence on the European Union. Europe nevertheless remained important for trade and investment. Weaker demand there could therefore limit the contribution of net exports even when other markets were available.

Capital flows and external-financing conditions

- **Foreign finance and financial deepening**
  Stronger financial stability improved confidence and helped attract foreign direct and portfolio investment. Banks also gained access to foreign funding at more favourable rates. These flows could supplement domestic savings and support lending and growth.
- **Global funding contractions and the lira**
  When foreign lenders retrench, domestic banks may find it harder to replace external funding. Scarcer finance can slow credit and domestic expenditure. A decline in the supply of foreign funds can also put downward pressure on the lira.
- **Short-term flows and investor sentiment**
  Short-term funds can move rapidly when expected returns or perceived risks change. A reversal leaves borrowers that need to roll over funding exposed to liquidity pressure. If the lira depreciates at the same time, borrowers with open currency positions may also face balance-sheet losses.

Banking resilience during 2008–2009

- **Recapitalisation and stronger supervision**
  Banks rebuilt capital and reserves after the 2001 crisis. Conservative banking practices and closer supervision limited excessive risk-taking before the global crisis. These measures helped banks absorb a shock even though lending conditions tightened.
- **The 2005 banking law**
  The banking law passed in 2005 modernised the regulatory framework. It reinforced a reform process that had already begun with bank restructuring and recapitalisation. Effective supervision was important for putting the new framework into practice.
- **Limited exposure to complex instruments**
  Domestic institutions used complex instruments such as derivatives relatively little in this period. This reduced direct exposure to some of the channels that spread losses through overseas financial systems. Türkiye nevertheless experienced funding stress, weaker exports and a fall in output.

Fiscal space and the crisis response

- **Room for fiscal support**
  Public debt and deficits had fallen before the global crisis. A stronger fiscal position made it easier to increase support when private demand weakened. The rise in the debt ratio in 2009 interrupted the earlier decline.
- **Demand and investment support**
  Expansionary fiscal policy was used to support domestic spending and investment. It accompanied monetary easing during the downturn. The aim was to cushion activity as external demand and credit conditions deteriorated.
- **Why earlier consolidation mattered**
  Lower debt and borrowing costs reduced the share of public resources committed to financing old obligations. The government could therefore respond to the shock with more room to borrow or spend. This illustrates how fiscal choices before a crisis affect the options available during it.

Monetary easing during the global crisis

- **The Central Bank eased policy as the crisis deepened**
  The Central Bank initially took a cautious approach as the global crisis developed. It then lowered the policy rate substantially as activity and financing conditions weakened. Easier monetary conditions were intended to support spending and borrowing.
- **A reduction of 9.5 percentage points**
  The cumulative policy rate reduction reported for September 2008 to September 2009 was 9.5 percentage points. This measures the change between two interest rate levels. The scale of the change shows how strongly policy shifted towards easing.
- **Monetary, fiscal and global financial conditions**
  Monetary easing occurred alongside fiscal measures that supported domestic demand and investment. Easier global monetary conditions also helped bring short-term capital back. These developments supported recovery while laying the ground for renewed credit growth.

Credit growth and external risks after the recovery

- **Lower borrowing costs and credit growth**
  Easier domestic monetary conditions reduced the cost of loans. Easier global financing conditions contributed to a surge in short-term capital inflows. Together they supported rapid credit growth as the economy recovered.
- **Domestic demand and the current account**
  The expansion in credit helped revive consumption and investment. Rising domestic demand also increased imports in an economy that depended on imported inputs and energy. The current-account deficit widened by late 2010.
- **Financial stability alongside inflation**
  A recovery in output did not mean that risks to banks and external financing had subsided. Rapid credit growth and volatile capital flows could create vulnerabilities even when inflation was being targeted. Financial stability was therefore incorporated into the monetary policy strategy.

The macroprudential framework after 2010

- **Financial stability entered the policy strategy**
  The Central Bank revised its inflation-targeting framework in late 2010. It added attention to risks that could build across financial institutions and markets. The revision followed a period of strong credit growth and a widening current-account deficit.
- **A broader set of instruments**
  The interest-rate corridor and reserve requirements were used for monetary and macroprudential purposes. These tools could influence short-term money-market conditions and the supply of bank credit. The broader toolkit responded to capital-flow volatility and external imbalances as well as inflation.
- **The Financial Stability Committee**
  The committee was created in June 2011. Its responsibilities included assessing systemic risks, identifying possible measures and making policy recommendations. This provided a formal basis for coordinating a response when risks crossed institutional boundaries.

Macroprudential tools and coordination

Tool or institution	Main issue addressed
Interest-rate corridor	Money-market conditions and capital-flow volatility
Reserve requirements	Bank liquidity, funding and credit conditions
Prudential supervision	Risk-taking, currency exposure and bank buffers
Financial Stability Committee	Systemic-risk assessment and policy coordination

- **Interest-rate corridor**
  The corridor was used to influence short-term money-market conditions. Adjusting it gave the Central Bank more flexibility to respond to changes in capital flows and liquidity. It was used alongside reserve requirements in the broader policy framework.
- **Reserve requirements**
  Reserve requirements affect how much of certain bank liabilities must be held as reserves. Changes can alter bank liquidity and the cost of funding new loans. The tool was used to address risks associated with fast credit growth as well as to support monetary policy.

Macroprudential tools and coordination

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Prudential supervision	Risk-taking, currency exposure and bank buffers
Financial Stability Committee	Systemic-risk assessment and policy coordination

- **Prudential supervision**
  Supervision can monitor risk-taking, open foreign-currency positions and the quality of bank assets. Capital and liquidity buffers help banks withstand losses and withdrawals. These safeguards matter even when general monetary policy is directed toward inflation.
- **Financial Stability Committee**
  The committee was created in June 2011 to improve systemic-risk assessment. It was tasked with identifying measures and making policy recommendations. Its role supported coordination across authorities responsible for different parts of the financial system.

The savings–investment gap and external deficits

- **Low savings and import dependence**
  Private saving was low relative to the economy's investment and financing needs. Production relied on imported energy and other inputs, including some higher-technology goods. These features contributed to a persistent current-account deficit.
- **Growth and external financing needs**
  Faster growth could increase demand for both consumer imports and imported production inputs. When national investment exceeded national saving, the gap was matched by a current-account deficit. Continuing that pattern required access to external financing or the use of reserves.
- **Savings, investment and domestic inputs**
  Higher domestic saving could support investment with less reliance on funds from abroad. Improved productivity and stronger domestic supplier capabilities could reduce the import intensity of some activities. Reducing dependence on imported energy would also help limit exposure to external price and funding shocks.

Currency and refinancing risk remained important

- **Depreciation and foreign-currency debt**
  A weaker lira raises the domestic-currency value of debt owed in foreign currency. Borrowers with lira revenues and few offsetting foreign-currency assets are particularly exposed. Their debt burden can rise even if the amount owed in foreign currency is unchanged.
- **Short-term financing and rollover risk**
  Borrowers that rely on short maturities must renew their funding frequently. An external funding contraction can leave otherwise viable banks or firms short of cash. Liquidity risks can worsen when depreciation and rising financing costs occur together.
- **Oversight of borrowing and indebtedness**
  Monitoring foreign-currency exposures helps identify borrowers vulnerable to depreciation. Supervisors also need to assess maturity mismatches and total indebtedness. A deeper and more diversified domestic financial system could help reduce reliance on short-term foreign-currency funds.

Episodes of external and currency pressure

Episode	Pressure on the economy
2006	International conditions contributed to currency volatility
2013	Higher uncertainty accompanied depreciation and slower growth
2016–2017	Domestic and external risks contributed to outflows and lira pressure
Shared issue	Growth still depended heavily on external finance

- **2006: International pressures on the lira**
  Global imbalances and higher commodity and oil prices contributed to exchange-rate fluctuations. Concerns linked to the US housing market were another international factor. The episode showed that the lira remained sensitive to developments abroad.
- **2013: Greater uncertainty and slower growth**
  Political risk increased and the lira depreciated substantially. Interest rates rose as financing conditions became more difficult. Growth slowed, illustrating how currency pressure can coincide with weaker activity.

Episodes of external and currency pressure

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- **Late 2016 and early 2017: Outflows and depreciation**
  Domestic and international political risks increased during this period. Capital outflows were accompanied by renewed pressure on the lira. Borrowers exposed to foreign-currency debt faced a higher lira value of those obligations.
- **Shared exposure to external finance**
  Low private savings and import-dependent production sustained demand for foreign funds. Short-term financing left borrowers exposed when investors changed their positions. Stronger bank supervision could reduce the damage without eliminating that external dependence.

The European sovereign-debt crisis and Türkiye

- **European austerity and weaker export demand**
  Austerity and weak demand in Europe reduced spending on imported goods. Türkiye was affected because European economies remained important markets for its exports. Weaker sales abroad put pressure on domestic production and growth.
- **Europe as a source of direct investment**
  A significant share of foreign direct investment in Türkiye originated in Europe. Difficult financing and weaker investment conditions there reduced another source of support for Turkish activity. The European shock therefore reached Türkiye through both trade and investment.
- **The slowdown after the initial recovery**
  Türkiye recovered quickly after the 2009 contraction. Demand from European partners stayed weak after the sovereign-debt crisis, limiting the support that net exports could provide. Continued reliance on domestic demand and external credit made the recovery vulnerable to shifts in financing.

Priorities for further structural reform

- **Legal and administrative reform**
  The first reform phase improved parts of the institutional framework and reduced some administrative costs. More reliable contract enforcement, stronger protection of rights and effective public administration were still needed. Such changes could improve the conditions for productive investment and innovation.
- **Education, innovation and manufacturing**
  More schools, universities and research spending expanded inputs to development. Sustained gains required better education quality, stronger links between universities and industry, and the ability to turn research into commercial innovation. Targeted support for manufacturing was proposed alongside clear performance conditions.
- **Domestic saving and a more resilient financial system**
  Low savings and reliance on imported inputs continued to generate external financing needs. Higher saving and more productive investment could reduce dependence on short-term inflows. Stronger oversight and deeper domestic financial markets could make the economy less exposed to reversals.

The quality and sustainability of growth

Stronger foundations for growth	Sources of vulnerability
Productivity and technological capability	Consumption financed by short-term inflows
Long-term finance and domestic savings	Import dependence and currency risk
Inclusive services and capable institutions	Weak innovation and uneven social outcomes

- **Productivity and technological capability** Sustained growth requires firms to become more productive and develop capabilities in higher-value activities. Targeted industrial support and better links between research and production can assist that process. Consumption growth funded by short-term inflows provides a less durable basis for expansion.
- **Domestic saving and long-term financing** Higher domestic saving can finance more investment without relying as heavily on foreign borrowing. A deeper financial system can provide a wider range of longer-term funding. Imported energy and foreign-currency liabilities nevertheless leave the economy exposed to external prices and the exchange rate.

The quality and sustainability of growth

Stronger foundations for growth	Sources of vulnerability
Productivity and technological capability	Consumption financed by short-term inflows
Long-term finance and domestic savings	Import dependence and currency risk
Inclusive services and capable institutions	Weak innovation and uneven social outcomes

- **Institutions and inclusive services**
  Effective legal and administrative institutions can support investment, competition and innovation. Better education, health and public infrastructure can widen access to the gains from growth. The quality of these services and the distribution of income remain relevant even when output is growing.

Comparing the 2001 and 2008–2009 crises

Dimension	2001	2008–2009
Immediate context	Domestic banking and currency crisis	International financial and demand shock
Banking framework	Fragile balance sheets and weak safeguards	Stronger buffers and supervision
Exchange rate	Collapse of the preannounced anchor	Floating regime under external pressure
Policy challenge	Stabilisation and institutional repair	Support demand while containing renewed risks

- **Origins of the two crises**
  The 2001 crisis combined domestic banking weakness with the collapse of an exchange-rate programme. The 2008–2009 shock originated in international financial markets and spread through trade and finance. The different origins affected which domestic institutions came under the greatest pressure.
- **Bank balance sheets and safeguards**
  In 2001, currency and maturity mismatches left banks exposed to depreciation and funding stress. Restructuring, recapitalisation and stronger supervision improved buffers before the global crisis. These changes reduced banking damage without preventing an output contraction.

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Policy challenge	Stabilisation and institutional repair	Support demand while containing renewed risks

- **The exchange-rate regime**
  In 2001, reserve losses made the preannounced exchange-rate path unsustainable. During the global crisis, the lira was already floating and could adjust to external pressure. Currency movements could still create losses for borrowers with unhedged foreign-currency debt.
- **Policy priorities in each episode**
  The 2001 response prioritised stabilisation and repair of financial and public institutions. In 2008–2009, stronger public finances and bank buffers gave policymakers more scope to support demand. The recovery then brought new concerns about credit growth and the external deficit.